

Alumex PLC

Interim Report



3

Third Quarter

Nine Months Ended 31st December, 2022

Income Statements

For the period ended 31st December, 2022

Consolidated	Consolidated			Consolidated		
	Unaudited 9 months to 31.12.22 Rs.'000	Unaudited 9 months to 31.12.21 Rs.'000	Change %	Unaudited 3 months to 31.12.22 Rs.'000	Unaudited 3 months to 31.12.21 Rs.'000	Change %
Audited year ended 31.03.22 Rs.'000						
9,595,282 Revenue	7,605,557	6,338,586	20	2,396,119	2,411,096	(1)
(7,316,667) Cost of sales	(6,383,576)	(4,867,300)	31	(1,916,087)	(1,826,764)	5
2,278,615 Gross profit	1,221,981	1,471,286	(17)	480,033	584,333	(18)
53,141 Other income	66,777	20,289	>100	32,480	6,723	>100
(267,516) Distribution expenses	(234,374)	(168,484)	39	(88,521)	(58,996)	50
(576,512) Administrative expenses	(405,176)	(413,579)	(2)	(145,270)	(149,925)	(3)
1,487,728 Results from operating activities	649,207	909,512	(29)	278,722	382,136	(27)
452,482 Finance Income	15,596	13,494	16	2,809	2,090	34
(558,455) Finance Costs	(718,839)	(170,347)	>100	(345,668)	(55,205)	>100
(105,973) Net finance costs	(703,243)	(156,853)	>100	(342,859)	(53,115)	>100
1,381,755 Profit before tax	(54,035)	752,659	>100	(64,137)	329,021	>100
(229,849) Tax (expense)/Reversal	(90,390)	(131,260)	(31)	(88,665)	(58,104)	53
1,151,906 Profit for the period	(144,426)	621,399	>100	(152,802)	270,917	>100
Attributable to:						
1,151,906 Owners of the Company	(144,426)	621,399	>100	(152,802)	270,917	>100
Earnings per share						
1.92 Basic earnings per share (Rs.)	(0.24)	1.04		(0.26)	0.45	

Statements of Comprehensive Income

Consolidated	Consolidated			Consolidated		
	Unaudited 9 months to 31.12.22 Rs.'000	Unaudited 9 months to 31.12.21 Rs.'000	Change %	Unaudited 3 months to 31.12.22 Rs.'000	Unaudited 3 months to 31.12.21 Rs.'000	Change %
Audited year ended 31.03.22 Rs.'000						
1,151,906 Profit for the Period	(144,426)	621,399	>100	(152,802)	270,917	>100
Other Comprehensive income						
(12,394) Actuarial gains / (losses) on defined benefit plans	-	-		-	-	
2,200 Income tax effect on actuarial gains / (losses)	-	-		-	-	
152,952 Revaluation of land	-	-		-	-	
(27,149) Income tax effect on revaluation surplus	(44,183)	-		(44,183)	-	
115,609 Other comprehensive income for the period, net	(44,183)	-		(44,183)	-	
1,267,515 Total comprehensive income for the period, net	(188,609)	621,399	>100	(196,985)	270,917	>100
Attributable to						
1,267,515 Owners of the parent	(188,609)	621,399		(196,985)	270,917	

Income Statements

For the period ended 31st December, 2022

Company	Company			Company		
Audited year ended 31.03.22 Rs.'000	Unaudited 9 months to 31.12.22 Rs.'000	Unaudited 9 months to 31.12.21 Rs.'000	Change %	Unaudited 3 months to 31.12.22 Rs.'000	Unaudited 3 months to 31.12.21 Rs.'000	Change %
9,042,944 Revenue	7,605,557	5,928,777	28	2,396,119	2,216,954	8
(7,027,596) Cost of sales	(6,383,576)	(4,594,245)	39	(1,916,087)	(1,671,287)	15
2,015,348 Gross profit	1,221,981	1,334,533	(8)	480,033	545,667	(12)
51,973 Other income	66,777	19,883	>100	32,480	6,317	>100
(261,289) Distribution expenses	(234,374)	(159,604)	47	(88,521)	(52,923)	67
(554,063) Administrative expenses	(405,176)	(400,250)	1	(145,270)	(147,227)	(1)
1,251,969 Results from operating activities	649,207	794,562	(18)	278,722	351,834	(21)
440,172 Finance Income	15,596	13,426	16	2,809	2,067	36
(535,723) Finance Costs	(718,839)	(165,244)	>100	(345,668)	(54,481)	>100
(95,551) Net finance costs	(703,243)	(151,818)	>100	(342,859)	(52,414)	>100
1,156,418 Profit before tax	(54,035)	642,744	>100	(64,137)	299,420	>100
(189,670) Tax (expense)/Reversal	(90,390)	(113,911)	(21)	(88,665)	(52,186)	70
966,748 Profit for the period	(144,426)	528,833	>100	(152,802)	247,234	>100
Attributable to: Owners of the Company	(144,426)	528,833	>100	(152,802)	247,234	>100
Earnings per share						
1.62 Basic earnings per share (Rs.)	(0.24)	0.88		(0.26)	0.41	

Statements of Comprehensive Income

Company	Company			Company		
Audited year ended 31.03.22 Rs.'000	Unaudited 9 months to 31.12.22 Rs.'000	Unaudited 9 months to 31.12.21 Rs.'000	Change %	Unaudited 3 months to 31.12.22 Rs.'000	Unaudited 3 months to 31.12.21 Rs.'000	Change %
966,748 Profit for the Period	(144,426)	528,833	>100	(152,802)	247,234	>100
Other Comprehensive income						
(7,870) Actuarial gains / (losses) on defined benefit plans	-	-		-	-	
1,397 Income tax effect on actuarial gains / (losses)	-	-		-	-	
139,952 Revaluation of land	-	-		-	-	
(24,841) Income tax effect on revaluation surplus	(44,183)	-		(44,183)	-	
108,638 Other comprehensive income for the period, net	(44,183)	-		(44,183)	-	
1,075,386 Total comprehensive income for the period, net	(188,609)	528,833	>100	(196,985)	247,234	>100
Attributable to Owners of the parent	(188,609)	528,833		(196,985)	247,234	

Statements of Financial Position

Consolidated	Company		Company	Consolidated	
Audited	Audited		Unaudited	Unaudited	
as at	as at		as at	as at	
31.03.22	31.03.22		31.12.21	31.12.21	
			(Restated)	(Restated)	
Rs.'000	Rs.'000	Notes	Rs.'000	Rs.'000	
ASSETS					
Non - current assets					
4,390,421	4,166,241	Property, plant & equipment	4,592,509	3,857,011	4,061,333
272,775	272,775	Right of use asset/Lease Asset	251,578	226,482	226,482
88,868	88,868	Intangible assets	83,411	104,690	104,690
-	30,000	Investments in subsidiaries	-	30,000	-
4,752,064	4,557,884	Total non-current assets	4,927,498	4,218,183	4,392,505
Current assets					
3,602,127	3,247,592	Inventories	3,738,112	3,071,088	3,569,031
1,586,449	1,347,316	Trade and other receivables	1,265,610	479,999	609,112
1,262,417	1,240,377	Advances and prepayments	786,078	999,806	1,045,833
-	-	Income tax recoverable	-	-	981
866,243	843,214	Cash & cash equivalents	286,624	713,518	725,864
7,317,236	6,678,499	Total current assets	6,076,425	5,264,411	5,950,821
12,069,300	11,236,383	Total assets	11,003,924	9,482,595	10,343,327
EQUITY AND LIABILITIES					
283,735	283,735	Stated capital	283,735	283,735	283,735
228,056	228,056	Capital reserves	228,056	228,056	228,056
755,057	711,715	Other components of equity	710,874	597,925	630,575
2,615,154	1,732,361	Revenue reserves	2,257,963	1,356,211	2,150,134
3,882,002	2,955,867	Total equity attributable to owners of the parent	3,480,628	2,465,927	3,292,499
-	-	Non- controlling interest	-	-	-
3,882,002	2,955,867	Total Equity	3,480,628	2,465,927	3,292,499
Non - current liabilities					
1,128,989	1,128,989	Interest bearing borrowings	1,058,147	833,756	833,756
286,046	286,046	Non Current Portion of Lease Liabilities	-	232,794	232,794
166,265	148,940	Employee benefit obligations	178,387	142,239	155,964
238,321	245,033	Deferred tax liability	336,856	218,016	213,095
1,819,621	1,809,008	Total non-current liabilities	1,573,391	1,426,805	1,435,608
Current liabilities					
2,614,366	2,951,594	Trade and other payables	1,875,391	2,452,536	2,302,814
651,392	651,392	Current portion of long term interest bearing borrowings	316,409	755,004	755,004
17,301	17,301	Current Portion of Lease Liability	273,958	17,301	17,301
2,839,651	2,642,751	Short-term interest bearing borrowings	3,442,090	2,167,169	2,325,029
19,687	17,093	Provisions	21,754	16,207	18,266
225,280	191,377	Income tax payable	20,303	181,645	196,805
6,367,677	6,471,508	Total current liabilities	5,949,905	5,589,863	5,615,219
8,187,298	8,280,516	Total liabilities	7,523,296	7,016,668	7,050,827
12,069,300	11,236,383	Total equity and liabilities	11,003,924	9,482,595	10,343,327

The Financial Position as at 31st December, 2022 and Income Statements ,Statements of Comprehensive Income, Changes in Equity and Cash Flow for the nine months then ended are drawn up from the unaudited financial statements of the Company, its Subsidiaries and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007 .

*Alco Industries (Private) Limited a wholly owned subsidiary of Alumex PLC was amalgamated with Alumex PLC with effect from effect from 23rd August 2022 in terms of Section 242 of the Companies Act No 7 of 2007 and continue as Alumex PLC, hence no Consolidated Statements of Financial Position was presented as at 31st December 2022.

Sgd

R P P K Rajapaksha
Director / Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage
Chairman
8th February 2023

Sgd

D W P N Dediwela
Managing Director

Statements of Changes in Equity

For the period ended 31st December, 2022

Consolidated

	Attributable to owners of the parent					
	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Shareholders' Funds	Total Equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2022 (Adjusted)	283,734	228,055	755,056	2,552,044	3,818,888	3,818,888
Profit for the period	-	-	-	(144,426)	(144,426)	(144,426)
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	(44,183)	-	(44,183)	(44,183)
Total other comprehensive income	-	-	(44,183)	-	(44,183)	(44,183)
Total Comprehensive income for the period	-	-	(44,183)	(144,426)	(188,609)	(188,609)
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(149,651)	(149,651)	(149,651)
Transfers	-	-	-	-	-	-
Total contributions by and distributions to owners	-	-	-	(149,651)	(149,651)	(149,650)
Balance as at 31st December 2022 (Adjusted)	283,734	228,055	710,873	2,257,963	3,480,628	3,480,628

* Alco Industries (Private) Limited ("Alco") a wholly owned subsidiary of Alumex PLC was amalgamated with Alumex PLC with effect from effect from 23rd August 2022 in terms of Section 242 of the Companies Act No 7 of 2007 and continue as Alumex PLC, hence as at 30th September 2022, the Statements of Changes in Equity of Consolidated and Company are equal.

Balance as at 1st at April, 2021	283,735	228,056	634,539	1,827,320	2,973,650	2,973,650
Charge relating to Surcharge Tax	-	-	-	(63,108)	(63,108)	(63,108)
Balance as at 1st at April, 2021 (Adjusted)	283,735	228,056	634,539	1,764,212	2,910,542	2,910,542
Profit for the period	-	-	-	621,399	621,399	621,399
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	621,399	621,399	621,398
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(239,442)	(239,442)	(239,442)
Transfers	-	-	(3,964)	3,964	-	-
Total contributions by and distributions to owners	-	-	(3,964)	(235,478)	(239,442)	(239,442)
Balance as at 31st December 2021 (Adjusted)	283,735	228,056	630,575	2,150,134	3,292,499	3,292,499

Statements of Changes in Equity

For the period ended 31st December, 2022

Company	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2022 (Adjusted)	283,735	228,056	711,715	1,669,254	2,892,761
Profit for the period	-	-	-	(144,426)	(144,426)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	(44,183)	-	(44,183)
Total other comprehensive income	-	-	(44,183)	-	(44,183)
Total Comprehensive income for the period	-	-	(44,183)	(144,426)	(188,609)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(149,651)	(149,651)
Amalgamation Reserve -Alco Industries (Pvt) Ltd			43,341	882,786	926,127
Transfers	-	-	-	-	-
Total contributions by and distributions to owners	-	-	43,341	733,135	776,476
Balance as at 31st December 2022	283,735	228,056	710,874	2,257,963	3,480,628
Balance as at 1st at April, 2021	283,735	228,056	601,889	1,125,965	2,239,645
Charge relating to Surcharge Tax	-	-	-	(63,108)	(63,108)
Balance as at 1st at April, 2021 (Adjusted)	283,735	228,056	601,889	1,062,857	2,176,537
Profit for the period	-	-	-	528,833	528,833
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	528,833	528,833
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(239,442)	(239,442)
Transfers	-	-	(3,964)	3,964	-
Total contributions by and distributions to owners	-	-	(3,964)	(235,478)	(239,442)
Balance as at 31st December 2021 (Adjusted)	283,735	228,056	597,925	1,356,211	2,465,929

Cash Flow Statements

For the period ended 31st December, 2022

Consolidated		Company	Consolidated		Company	
Audited as at 31.03.22 Rs.'000	Audited as at 31.03.22 Rs.'000		Unaudited 9 months to 31.12.22 Rs.'000	Unaudited 9 months to 31.12.21 Rs.'000	Unaudited 9 months to 31.12.22 Rs.'000	Unaudited 9 months to 31.12.21 Rs.'000
		Cash Flows from Operating Activities				
1,381,755	1,156,418	Profit before taxation	(54,035)	752,659	(54,035)	642,744
		Adjustments for,				
267,937	259,866	Finance cost	868,059	169,138	868,059	165,909
(18,295)	(18,215)	Finance income	(15,596)	(13,494)	(15,596)	(13,426)
24,088	22,287	Provision for gratuity	21,300	21,182	21,300	19,148
-	-	(Profit) / loss on disposal of property, plant and equipment	-	-	-	-
13,740	12,566	Provision for bad debts	17,650	23,994	17,650	18,854
16,671	16,671	Provision/(Reversal) for Impairment of Property,Plant & Equipme	-	-	-	-
291,831	276,338	Depreciation and amortisation	260,062	205,880	260,062	196,015
1,977,727	1,725,931	Operating profit before working capital changes	1,097,439	1,159,359	1,097,440	1,029,245
(1,703,925)	(1,576,891)	(Increase)/ decrease in inventories	(135,987)	(1,670,827)	(135,987)	(1,400,388)
(435,707)	(353,130)	(Increase)/ decrease in trade and other receivables	778,330	(443,443)	778,330	(271,885)
(1,229,336)	(1,208,337)	(Increase)/ decrease in advances and prepayments	1,198	20,194	1,198	18,964
887,612	1,058,220	Increase/ (decrease) in trade and other payables	(619,485)	514,427	(619,485)	348,777
(503,629)	(354,207)	Cash generated from operating activities	1,121,494	(420,290)	1,121,494	(275,288)
(234,784)	(226,714)	Finance cost paid	(842,967)	(148,416)	(842,967)	(145,188)
(89,781)	(52,112)	Income tax paid	(304,123)	(76,145)	(304,123)	(44,878)
(10,550)	(9,857)	Retirement benefit liability paid	(9,174)	(5,547)	(9,174)	(5,547)
(838,744)	(642,890)	Net cash from operating activities	(34,769)	(650,399)	(34,769)	(470,902)
		Cash Flows from Investing Activities				
(751,326)	(730,201)	Acquisition of property, plant and equipment	(426,331)	(501,173)	(426,331)	(492,061)
-	-	Proceeds from sale of property, plant and equipment	-	-	-	-
-	-	Net Proceeds from short term investments	-	-	-	-
18,295	18,214	Finance income received	15,596	13,494	15,596	13,426
(733,031)	(711,987)	Net cash flows used in investing activities	(410,735)	(487,680)	(410,735)	(478,635)
		Cash Flows from Financing Activities				
(1,199,295)	(1,199,294)	Repayment of interest bearing loans and borrowings	(423,125)	(950,915)	(423,125)	(950,915)
(39,904)	(39,904)	Lease Rental Paid	(46,351)	(27,458)	(46,351)	(27,458)
1,420,000	1,420,000	Proceeds from interest bearing loans and borrowings	-	980,000	-	980,000
(239,443)	(239,443)	Dividend paid	(267,077)	(119,721)	(267,077)	(119,721)
(58,641)	(58,641)	Net cash flows from/ (used in) financing activities	(736,553)	(118,094)	(736,553)	(118,094)
(1,630,417)	(1,413,518)	Net increase/ (decrease) in cash and cash equivalents	(1,182,057)	(1,256,173)	(1,182,058)	(1,067,631)
(342,991)	(386,019)	Cash and cash equivalents at the beginning of the year	(1,973,408)	(342,991)	(1,973,408)	(386,020)
(1,973,408)	(1,799,537)	Cash and cash equivalents at end of the period	(3,155,465)	(1,599,164)	(3,155,465)	(1,453,651)
		Analysis of Cash & Cash Equivalents				
866,243	843,214	Cash in Hand and at Bank	286,624	725,864	286,624	713,518
(2,839,651)	(2,642,751)	Short-term interest bearing borrowings	(3,442,090)	(2,325,029)	(3,442,090)	(2,167,169)
(1,973,408)	(1,799,537)	Cash and cash equivalents at end of the period	(3,155,466)	(1,599,164)	(3,155,466)	(1,453,651)

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2022.

The accounting policies adopted in the preparation of the Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Annual Consolidated Financial Statements for the year ended 31st March 2022.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

2 Amalgamation of Alco Industries (Pvt) Ltd

Alco Industries (Private) Limited ("Alco") a wholly owned subsidiary of Alumex PLC was amalgamated with Alumex PLC with effect from effect from 23rd August 2022 in terms of Section 242 of the Companies Act No 7 of 2007 and continue as Alumex PLC, hence no Consolidated Statements of Financial Position was presented as at 31st December 2022.

- 3 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.
- 4 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Consolidated</u>		<u>Consolidated</u>	
Audited		Unaudited	Unaudited
as at		as at	as at
31.03.22		31.12.22	31.12.21
Rs.'000		Rs.'000	Rs.'000
1,151,906	Profit for the Period	(144,426)	621,399
598,605,680	Weighted Average No. of Shares	598,605,680	598,605,680
1.92	Diluted and Basic Earnings Per Share	(0.24)	1.04

5 STATED CAPITAL

Audited		Unaudited	Unaudited
as at		as at	as at
31.03.22		31.12.22	31.12.21
Rs.'000		Rs.'000	Rs.'000
283,735	Issued and fully paid	283,735	283,735
598,605,680	Ordinary Shares		

- 6 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.
- 7 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

8 SURCHARGE TAX

The Government of Sri Lanka in its Budget for 2022 proposed a one-time tax, referred to as a surcharge tax, is applicable to the Hayleys Group as the collective taxable income of Companies belonging to the Group, calculated in accordance with the provisions of the Inland Revenue Act No. 24 of 2017, exceeds Rs. 2,000 Mn, for the year of assessment 2020/2021. The tax is imposed by the Surcharge Tax Act No. 14 of 2022 which was passed by the Parliament of Sri Lanka on 7th April 2022. The liability is computed at the rate of 25 per cent on the taxable income of the individual Group Companies, net of dividends from subsidiaries

Total Surcharge Tax liability of Rs. 63.1 Mn has been recognised for the Company as an opening adjustment to the 1 April 2021 retained earnings in the Statement of Changes in Equity as per the Statement of Alternative Treatment (SoAT) issued by the Institute of Chartered Accountants of Sri Lanka. According to the said Act, the surcharge tax shall be deemed to be an expenditure in the Financial Statements relating to the year of assessment which commenced on 1 April 2020.

On 20 April 2022, the Company paid Rs. 31.5 Mn on account of the first installment of the Surcharge Tax liability. The final installment of Surcharge Tax has been paid on 20 July 2022.

The impact of the surcharge tax under the Surcharge Tax Act on the comparative year would have been as given below:

	In Rs'000 Group	In Rs'000 Company
Profit after Tax for the year ended 31 March 2021	841,011	816,612
Surcharge Tax charge	(63,108)	(63,108)
Adjusted comparable Profit for the year ended 31 March 2021	777,903	753,504

NOTES TO THE FINANCIAL STATEMENTS

9 IMPACT OF RECENT ECONOMIC CONDITION

The Directors are continuously monitoring the existing and the anticipated effects of the economic crisis, the circumstances of the external environment, as well as the resulting consequences to the company in order to take appropriate measures to manage the impact.

I. Increase in interest rates

The sharp increase in market interest rates, both LKR and USD, adversely impacted the interest cost of the group and the company. This increment in finance cost was mainly due to higher working capital requirements in the group as a result of the sharp depreciation of the Rupee along with curtailing of supplier credits by foreign suppliers due to the downgrade of the country's credit rating by international credit rating agencies subsequent to the weakening of the economic stability of Sri Lanka. The LKR interest rates are expected to decrease marginally in the coming months with the recent policy measures adopted by CBSL.

The following measures were taken to reduce the impact of increase in interest rates;

- Fixed the interest of short – term working capital loans for a longer period based on money market conditions.
- Minimised borrowings by reducing credit periods offered to the customers whilst encouraging advance payments, thereby improving the liquidity of the company.
- Continues control and monitoring measures taken to improve the recoveries from debtors to reduce the borrowings
- Strategic initiatives driven by the management to prioritise essential capital expenditure
- Initiatives drive towards converting the LKR borrowings of companies to dollar borrowings
(Prudent management of working capital facilities with a proper mix between LKR and USD borrowings to manage cost of borrowing)

II. Fluctuation of foreign currency and significant rupee depreciation

With the significant rupee depreciation, cost of materials have increased significantly resulting in higher working capital requirements. Further, price revisions have adversely affected the consumer demand.

The rupee depreciation positively affected the export company's within the group which resulted an increase in the topline and bottom line. However, maintaining the exchange rate at a fixed level for an extended period posed challenges in maintaining competitiveness in the international market place given the expected tax changes and high inflation rate.

The following measures were taken to reduce the impact of a significant depreciation of the Rupee;

- Implemented prudent strategies to revise price in a timely manner based on market outlook
- Adopting a proper mix of LKR and foreign currency working capital funding while closely monitoring the currency rate movement

III. Other Considerations

Despite the current slowdown of the economy, the marketing and business development teams of the group continues to pursue new businesses to diversify the risk arising due to negative externalities, whilst the operational teams focus on improving production efficiencies and reducing costs in order to increase the gross profit margins.

10 Impact of Change in Income Tax Rates

Pursuant to the Inland Revenue (Amendment) Act, No. 45 of 2022 certified on 19th of December, 2022, corporate income tax arising from business income/export of goods has been increased from 18% to 30% w.e.f. 1st October 2022. As a result of this amendment, 3rd quarter income tax has been calculated based on a tax rate of 30%.

As deferred tax is calculated based on the liability method as per LKAS 12 - Income Taxes, the new tax rate of 30% was applied to the cumulative temporary differences as at 1st October 2022. This change in income tax rates resulted in deferred tax expenses of Rs. 155Mn for the Group and the Company respectively as at 31st December 2022.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	31.12.2022	31.12.2021
	<u>Rs.</u>	<u>Rs.</u>
Last traded price	7.30	15.90
Highest price recorded for the three months ending	10.00	17.50
Lowest price recorded for the three months ending	6.30	11.80
Market capitalisation (Rs. Mn.)	4,310	9,518

RATIOS

	31.12.2022	31.12.2021
Net assets per share	5.81	5.61
Price earnings ratio (times) (Annualised)	(15.13)	11.49
Return on Equity	-5.69%	28%
Return on Assets	-1.75%	8.01%
Current Ratio	1.02	1.07
Gearing	59%	55%

DIVIDEND PAYMENT

Final Dividend 2021/22 - Rs.0.25 per share paid on 12th July, 2022	149,651,420
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SHARE TRADING FROM 1ST APRIL, 2022 TO 31ST DECEMBER, 2022

No. of transactions	21,384
No. of shares traded	92,784,643
Value of shares traded (Rs.)	799,023,608

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 31 DECEMBER 2022

	Name of the Shareholder	No. of Shares as at 31.12.2022	%
1	Hayleys Limited No 1 Share Investment Account	314,826,064	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	80,169,400	13.39
3	Dean Foster (Pvt) Ltd A/C No.1	28,427,800	4.75
4	Mr.D.W.P.N.Dediwela	21,338,400	3.56
5	Rosewood (Pvt) Ltd - Account No.01	11,598,611	1.94
6	Sampath Bank PLC/Dr. T. Senthilvel	7,800,000	1.30
7	Seylan Bank PLC/W. D. N. H. Perera	4,275,461	0.71
8	Deutsche Bank AG-National Equity Fund	4,108,164	0.69
9	DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	3,503,881	0.59
10	EMFI Capital Limited	3,042,779	0.51
11	Mr. K. D. H. Perera	2,944,907	0.49
12	AIA Insurance Lanka Limited A/C No. 07	2,700,000	0.45
13	Bank of Ceylon No. 1 Account	2,254,360	0.38
14	Mr. J. W. Nanayakkara /Mrs. H. D. Nanayakkara	2,100,000	0.35
15	Mr. A. M. Weerasinghe	2,000,000	0.33
16	Mr. S. Senthilnathan	1,800,837	0.27
17	Hatton National Bank PLC/Almas Holdings (Private) Limited	1,775,000	0.27
18	People's Leasing and Financial PLC/Hi Line Trading (Pvt) Ltd	1,612,541	0.27
19	Mr. A. L. F. De Mel	1,600,000	0.27
	Keystone (Private) Limited	1,600,000	0.27
20	Commercial Bank of Ceylon A/c No. 01	1,428,400	0.24
		500,906,605	83.68
	OTHERS	97,699,075	16.32
	TOTAL	598,605,680	100.00

There were no non voting shares as at 31 December 2022.

PUBLIC HOLDING

Percentage of public holding as at 31.12.2022 23.58%

Total number of shareholders representing the public holding 5,503

Flot-adjusted market capitalization 1,016,288,779

The Company complies with option 1 of the Listing Rules 7.14.1 (i) (b) – Which requires Float Adjusted Market Capitalization of Rs.1 Bn and minimum number of shareholders of 200

DIRECTORS' SHAREHOLDINGS AS AT 31 DECEMBER 2022

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No of Shares
Mr.A.M.Pandithage	20,000
Mr.D.W.P.N.Dediwela	21,338,400
Mr.S.C.Ganegoda	443,400
Mr.R.P.Pathirana	487,898
Mr.S.Munaweera	40,000
Mr.R.P.P.K. Rajapaksha	39,814
Total	22,369,512

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman
D W P N Dediwela -Managing Director
S C Ganegoda -Deputy Chairman
R P Pathirana
A A Akbarally
Dr.H.Cabral, PC
S Munaweera
R P P K Rajapaksha
A J Hirdaramani (Alternate Director to R P Pathirana)
T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman
Dr.H.Cabral, PC
R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman
S Munaweera

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7655
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House, NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank of Ceylon
Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office, No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

Citi Bank N.A. Colombo.
65C, Dharmapala Mawatha,
Colombo 07, Sri Lanka

Standard Chartered Bank
37 York Street
Colombo 1

People's Bank
Head Office, No.75, Sir Chittampalam A Gardiner Mawatha
Colombo 02

Nation Trust Bank PLC
No.256,Srimath Ramanathan Mawatha
Colombo 15